3.7.2 Profitability, liquidity and gearing

Unit 3.7 Analysing the strategic position of a business · 7 key points

- **Return on capital employed (ROCE):** operating profit ÷ capital employed × 100
- **Current ratio:** current assets ÷ current liabilities
- **Gearing:** non-current liabilities ÷ capital employed × 100
- **High gearing:** over 50% is usually seen as high; more interest to pay and more risk if rates rise
- **Low current ratio:** may struggle to pay short-term debts
- **Trap:** gearing is about long-term borrowing; liquidity is about short-term debts
- **Trap:** use current assets, not net current assets, in the current ratio